Other deposits with RBI comprise mainly

- Deposits of quasi-government and other financial institutions including primary dealers
- Balances in the accounts of foreign central banks and governments
- Accounts of international agencies such as the IMF etc, and
- Provident, gratuity and guarantee funds of RBI staff

Primary dealers are financial intermediaries operating in government securities (G-Secs) and other financial instruments.

2. Narrow Money (M1)

The financial assets included in the category of M_1 are fewer than those included in the category of M_2. That means, it defines money in a narrower sense. So, it is called Narrow Money.

M_1 = *Currency with the Public + Demand Deposits with the Banking System + Other Deposits with the RBI*

Currency with the public is equal to currency in circulation minus cash on hand with the banking system.

Demand deposits are those deposits that can be withdrawn by a depositor at any point of time.

There are two major types of demand deposits viz., current deposits and saving deposits.

The saving deposits have two components namely demand liability and time liability. Most part of the saving deposits is demand liabilities only. But few saving deposits can be withdrawn only on some performance or on some